Decision memo - provisional draft

AI-assisted coursework draft. Educational purposes only; not investment advice.

Proposed action: watch/defer initiation pending validation. Fund has no existing position. Historical as-of date February 6, 2026; proposed holding horizon 3-5 years. This is not a current market recommendation.

The model produces $73.31/share against the historical $210.32 close. 94.2% of operating value is terminal value. Do not treat a precise displayed number as a validated price target: segment depreciation allocation, the cash-investment interpretation, WACC and terminal convergence remain unresolved.

Joint scenario values (not probability bounds):

- Downside: $5.21/share.
- Base: $73.31/share.
- Upside: $179.16/share.

Retail and AWS revenue drive operating cash generation; large infrastructure spending reduces early free cash flow. The upside case combines stronger demand and margins with better capital productivity and a lower discount rate. The downside combines weaker conversion, higher spending and a higher required return. Single-driver tables show which chosen ranges dominate, and half-range spans test dependence on those bounds. These are model outputs rather than a student's independent thesis.

At unchanged explicit cash flows, the historical price requires a terminal EBIT margin of 31.3% under the chosen WACC/growth/ROIC. No feasible root in 10%-40% initial AWS growth bracket. Neither result identifies investors' actual beliefs.

Revisit initiation only after corroborating sustainable margins and cash investment, calibrating date-matched WACC, reconciling leases and dilution, and checking a defensible return cushion. A model price at least 20% above market is a screening condition, not sufficient evidence to initiate. Defer if data/model uncertainty prevents defending those conditions. The student's own highest-risk claim and three possible failures must be written without AI as required.

Sources, assumptions and historical normalization: assumption-challenges.md. Reproducible tables: ../outputs/visible-result.html and analysis.json. No revenue, accounting or valuation result here substitutes for the required access, provenance, human testing and recordings.